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Netflix starts using GenAI in its shows and films



Companies developing [video AI models](#) and [tools](#) often talk about working with Hollywood studios to make certain workflows possible. On Thursday, Netflix said that it has started using AI in movies and shows it produces.

Speaking at the company's post-results conference call, co-CEO Ted Sarandos said that the platform had "the very first GenAI final footage to appear on screen" in an Argentine show called "El Eternauta" ("The Eternaut"). He noted that Netflix's internal production group teamed up with producers to use AI to create a scene of a building collapsing.

IMAGE CREDITS: AARON DAVEN / GETTY IMAGES
Sarandos said that using AI, the scene was finished 10x faster than it would have with traditional visual effect tools, and that it cost less.

"We remain convinced that AI represents an incredible opportunity to help creators make films and series better, not just cheaper. There are AI-powered creator tools. So this is real people doing real work with better tools. Our creators are already seeing the benefits in production through pre-visualization and shot-planning work, and certainly visual effects. It used to be that only big-budget projects would have access to advanced visual effects like de-aging," he said during the call.

Co-CEO Greg Peters said Netflix is using generative AI in other areas as well, including personalization and search and ads, and the company aims to roll out interactive ads in the second half of this year.

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Earlier this year, the company introduced [AI-powered search](#).

In the second quarter, Netflix reported revenue of \$11.08 billion, up 16% from a year earlier, and profit of \$3.13 billion. It noted that users watched over 95 billion hours of content in the first half of 2025, with non-English titles accounting for one-third of all its views.

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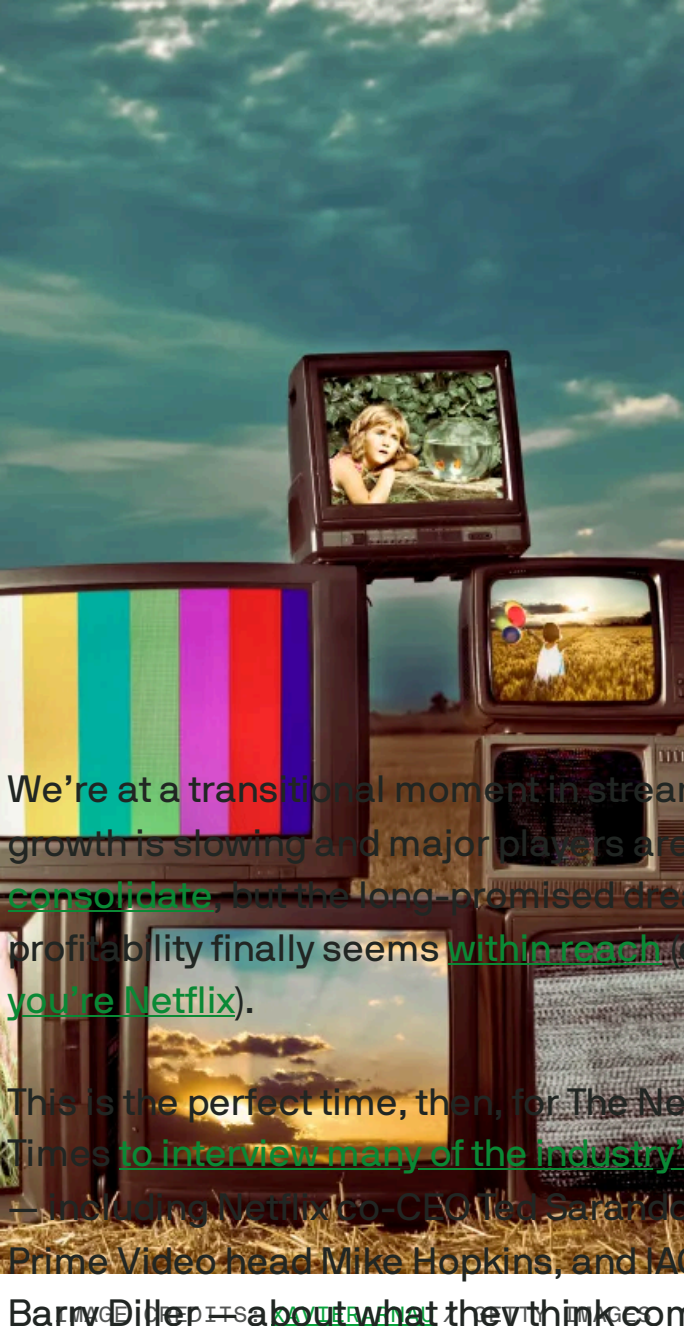
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Streaming execs think TV's future looks a lot like its past

Anthony Ha — 12:13 PM PDT · June 23, 2024



We're at a transitional moment in streaming — user growth is slowing and major players are [looking to consolidate](#), but the long-promised dream of profitability finally seems [within reach](#) (especially [if you're Netflix](#)).

This is the perfect time, then, for The New York Times [to interview many of the industry's big names](#) — including Netflix co-CEO Ted Sarandos, Amazon's Prime Video head Mike Hopkins, and IAC chairman Barry Diller [about what they think comes next](#).

There seemed to be broad agreement on most of the big themes: More ads, higher prices, and fewer big swings on prestige TV. These changes are all united by the shift toward profitability, rather than growth-at-all-costs. If the initial prices of many streaming services seemed unsustainably low at launch, it turns out they were — prices have been steadily rising, while the streamers have also introduced more affordable subscription tiers for viewers who are willing to watch ads.

In fact, some execs told The Times that streamers will keep raising prices for the ad-free tiers with the aim of pushing more customers to sign up for ad-supported subscriptions instead.

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The growth of ad-supported streaming could also affect the kinds of movies and shows that get produced, since advertisers generally want to reach a mass audience — think of the heyday of ad-supported network TV, with its endless shows about doctors and cops, compared to the more ambitious fare on subscription-supported HBO.

That shift is already underway in streaming, though executives insist they’re not abandoning their hopes of finding the next “Sopranos” or “House of Cards.” Sarandos (who’s already been [backing away](#) from his decade-old boast that he wanted Netflix “to become HBO before HBO could become us”) said Netflix can “do prestige TV at scale,” but added, “We don’t only do prestige.”

Similarly, Hopkins said that at Prime Video, “procedurals and other tried-and-true formats do well for us, but we also need big swings that have customers saying, ‘Wow, I can’t believe that just happened’ and will have people telling their friends.’”



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Other not-too-surprising predictions include greater investment in live sports (“the simplest and most interesting thing,” according to Warner Bros. Discovery board member John Malone), more bundling, and either the shutdown or merger of some existing services. Apparently there was consensus among the executives that streamers need at least 200 million subscribers to be “big enough to compete,” as former Disney CEO Bob Chapek put it.

Some of those changes would be welcome, but they reinforce the sense that streaming — at least as envisioned by the executives currently running the business — won’t be all that different from the old cable TV ecosystem. Some things will be better (on-demand viewing), some will be worse ([compensation for writers, actors, and other talent](#)), and there might be different players at the top. But in many ways, it will feel like the same old TV.

Topics: [Amazon](#) [Media & Entertainment](#) [Mike Hopkins](#)

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Anthony Ha is TechCrunch’s weekend editor. Previously, he worked as a tech reporter at Adweek, a senior editor at...

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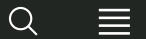
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Netflix founder and co-CEO Reed Hastings announced Thursday that he would step down after more than two decades at the company.

While news of his departure comes as a shock, Hastings noted that Netflix has planned its next era of leadership “for many years” in the [announcement](#), which was shared on the company’s blog.

In [2020, Netflix named Ted Sarandos](#), who has long led content efforts at the company, as co-CEO alongside Hastings. At the time, Netflix

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characterized the change as formalizing the way that the company was already operating.

Netflix will maintain the co-CEO structure in Hastings' absence, promoting COO Greg Peters to the tandem role with Sarandos.

"It was a baptism by fire, given COVID and recent challenges within our business," Hastings said of Sarandos and Peters taking the reins.

"But they've both managed incredibly well, ensuring Netflix continues to improve and developing a clear path to reaccelerate our revenue and earnings growth. So the board and I believe it's the right time to complete my succession."

Hastings will stay involved with the company as executive chairman of the board, following a precedent shared by other prominent major tech company founders, including Amazon's Jeff Bezos and Microsoft's Bill Gates.

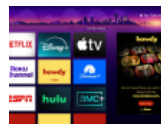
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The news came shortly before Netflix reported its fourth-quarter earnings. The company beat expectations in Q4, adding 7.7 million subscribers — well over the 4.5 million it anticipated. The company brought in \$7.85 billion during the final quarter of 2022, extending its recent trend of slowing revenue growth.

Netflix credited the popularity of content it released in Q4 for the huge subscriber boost, including the “Addams Family” reboot “Wednesday,” the stand-alone “Knives Out” sequel “Glass Onion” and the royals documentary “Harry & Meghan.”

Like most of tech, Netflix’s stock price has fallen well short of previous pandemic highs over the last year, but the company did recover from its midyear lows of \$180 a share, trading at \$315 before its Q4 report hit late Thursday.

The company introduced an [ad-supported subscription tier in November](#) and Thursday’s report offered the first real glimpse into how that new product might shift the company’s fortunes now that streaming’s early [pandemic boom times are over](#). In the report, Netflix called the launch of its lower-cost ad-supported tier a success for Q4 but noted that it had “much more still to do” around the new product.

At CES earlier this month, a Netflix ad executive noted the range of advertisers that the company [has already attracted](#), describing that as a boon for consumers who are eager to offset their monthly costs with a Hulu-like ad-supported subscription.

[Netflix adds 2.41M subscribers, soaring past expectations](#)



Taylor Hatmaker

Culture Editor |

Taylor covered social media, gaming and culture at TechCrunch.

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Netflix exec says 85 percent of new spending will go towards original content

Anthony Ha — 2:43 PM PDT · May 14, 2018

In case you had any doubts that original content is a big priority at Netflix, Chief Content Officer Ted Sarandos estimated that 85 percent of the company's total spending is going to new shows and movies.

That's [according to Variety](#), which reported on Sarandos' remarks today at MoffettNathanson's Media & Communications Summit 2018 in New York. He also said Netflix has 470 originals scheduled to premiere between now and the end of the year, bringing the total up to around 1,000.

It's probably not surprising that the service is prioritizing originals. After all, Netflix seems to be highlighting a new one every time I open it up, and competitors like [Apple](#), [Amazon](#) and [Hulu](#) are ramping up their own spending.

But the depth of Netflix's library, which is achieved by licensing content from others, has always seemed like a strength — in fact, [a recent study](#) found that licensed content generates 80 percent of Netflix viewing in the United States.

Part of the context here is that many of the studios that have sold their content to Netflix in the past are now either saving it for [their own streaming services](#) or looking to raise the prices.

And while movies account for one-third of viewing on Netflix, Sarandos pointed to new, big budget titles as one area where it no longer makes sense for the streaming service to spend a ton of money — because if you really want to catch the latest blockbuster, you probably already saw it in theaters.

"We said, maybe we can put the billion dollars we'd put in an output deal into original films," he said.

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Sarandos also sees an opportunity to [develop more unscripted content like *Queer Eye*](#), and to sign big deals with high-profile showrunners like [Shonda Rhimes](#) and [Ryan Murphy](#).

Netflix had [previously projected that it would spend \\$7 billion to \\$8 billion on content](#) this year. And just today, Netflix announced that it's [renewing *Lost in Space* for a second season](#) ([we were fans of season one](#)) and [picked up *10 After Midnight*](#), a horror anthology series from *Shape of Water* director Guillermo del Toro.

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